

Photograph by **BANDEEP SINGH**

> "THIS SUBSTANTIAL INCREASE (IN CAPEX) IN RECENT YEARS IS CENTRAL TO THE GOVERNMENT'S EFFORTS TO ENHANCE GROWTH POTENTIAL AND JOB CREATION, CROWD IN PRIVATE INVESTMENTS AND PROVIDE A CUSHION AGAINST GLOBAL HEADWINDS"
>
> **NIRMALA SITHARAMAN**
> *Finance minister, in her Budget 2023 speech*

short-term placebo effect.

Aatmanirbhar Bharat gave businesses tax breaks, introduced production-linked incentives (PLI) in 14 manufacturing sectors and an emergency credit line guarantee for additional credit to micro, small and medium scale enterprises. FM Nirmala Sitharaman kept a laser-focus on capacity-building, earmarking Rs 108 lakh crore between 2019-20 and 2024-25 for the National Infrastructure Pipeline announced in 2019. In October 2021, the Centre repealed the ill-conceived retrospective taxation laws framed by the UPA in 2012.

The biggest credit some economists accord Sitharaman is the fiscal discipline she managed to adhere to through the multiple disruptions. For, scarcely had the world emerged from Covid than Russia invaded Ukraine. Recession was already stalking the West. And inflation began to spook countries that had leant towards cash relief during Covid—the largesse returned to bite them. The US Fed was compelled to raise interest rates to over 5 per cent from near-zero levels. As hot money chased the more attractive dollar, the rupee plummeted, breaching the 80 mark vis-à-vis the dollar on July 22. But at the end of it all, India remains a relatively bright spot—a better GDP growth, which economists expect to be in the region of 7 per cent in FY23, would help.

Approval for the FM's efforts comes from Bank of Baroda chief economist Madan Sabnavis. "The major achievement of this government has been fiscal prudence," he says. "The finance ministry has made the budgets work better. It has ensured capital expenditure is made more effectively." The FM gave capex a Rs 10 lakh crore boost this budget, a massive 33 per cent rise over FY22.

The PLI scheme, too, seems to be bearing fruit, particularly in sectors such as electronics. India is now a key global manufacturing base for iPhones, with Apple's three contract manufacturers in India—Foxconn, Pegatron and Wistron—assembling iPhones worth Rs 57,390 crore in 2022-23, three times more than 2021-22. All three firms have been extended PLI benefits. Overall production of cellphones has galloped from about 60 million in 2014-15 to around 310 million in 2021-22. The next challenge is to build a local supplier ecosystem, so that handset makers and other electronics firms can source critical components indigenously.

That said, there's much left to be done. The sale of Air India to the Tata Group and the Rs 20,557.2 crore LIC IPO are saving graces in an otherwise humble balancesheet on the Rs 6 lakh crore divestment and asset monetisation target—just the Rs 1.62 lakh crore target on the latter was missed by a country mile. The much-awaited deal on two PSU banks and a general insurance firm are off the table for now. Private enterprise has not stepped in as hoped for, so the job market stays sluggish. A series of RBI rate hikes has not eased inflation. And the geopolitical flux could mean more pain. ■